Risk And Controls Group

Third Party (Service Organization) Assessment Training

SERVICE ORGANIZATIONS – THE BASICS

What is a service organization?

A service organization is an entity (or segment of an entity) that provides services to a user entity that is part of the user entity's information system.

Why is it important to understand how service organizations support significant business processes?

Many companies use outside service organizations to process financial data. The use of a service organization **neither reduces nor eliminates Management's responsibility** to maintain effective ICFR for its processes.

What is a SOC 1 report?

The service organization may engage an auditor to issue a report on the organization's controls for use by user entities and their auditors. The primary purpose of the report is to provide information to user entities relating to the control design and operating effectiveness at the service organization.

SERVICE ORGANIZATIONS – THE BASICS (Cont.)

There are two types of SOC 1 reports, a **Type 1 Report** and a **Type 2 Report**:

Type 1 Report

- Reports on controls placed in operation. This report expresses an opinion on the description of the controls at the service organization as of a specified date. However, it doesn't give Management the necessary level of evidence that controls have operated effectively over a period of time and, thus, typically needs to be supplemented by tests of controls by management.

Type 2 Report

- Reports on controls placed in operation and tests of operating effectiveness. This report provides a description of the results of tests of operating effectiveness performed by the service auditor, as well as the service auditor's opinion on whether the controls that were tested were operating effectively during the specified period



A **SOC 2 report** is NOT designed to be used for ICFR, but instead for outside institutions (customers, regulators, etc.,).

ASSESSING THE NEED FOR A SOC REPORT

PART 1: To determine whether a SOC report is relevant or necessary from a service organization, you should first understand **HOW** you are using the service organization. Start by asking these questions, does the service organization:



Maintain your accounting records?



Manage your assets?



Initiate, authorize, record, or process financial transactions?



Manage or support IT systems which are relevant for ICFR?

Is it financial in nature?

***Financial**: Affects items in your balance sheet and profit and loss. E.g., manages your ERP system's infrastructure*

***Non-Financial (Operational):** Does not affect items in your balance sheet and profit and loss. E.g., cleaning services*

ASSESSING THE NEED FOR A SOC REPORT (Cont.)

PART 2: Assuming the service organization is providing a service that is financial in nature, understand **WHAT** risks using the service organization creates and **WHAT** controls exists at the Opco to address those risks.

How you are using your service organization	Considerations/ Risks	What you can do to assess the need for a SOC report
1) maintain your accounting records; 2) manage your assets; 3) initiate, authorize, record, or process financial transactions;	- Could your service organization enter wrong information into your accounts (accidentally, or intentionally)? - Could your service organization make a mistake during data entry? - If there are physical assets involved, could there be theft? - Could your service organization be providing you with incorrect information that is then used by the Opco to support a financial decision?	- Do you have a system-based approval process at the Opco side prior to allowing service organization making entries/ transactions? If so a SOC report may not be required. - Do you have a strong, precise detective control reviewing the work after the fact that does not solely rely on information provided by the service organization and is reconciled to an independent source of truth? If so a SOC report may not be required. **Note 1**: The threshold you use may have to be lower as you may need a higher precision, as the service organization has not attested via a SOC report that they have proper controls in place. **Note 2**: The WPP RCM that has been rolled out should already include detective controls that address material processes. If an Opco has a financially material process that was not identified in the RCM, the Opco should have and document their own controls. Should this occur, please contact the Risk and Controls Group.

ASSESSING THE NEED FOR A SOC REPORT (Cont.)

PART 2: Assuming the service organization is providing a service that is financial in nature, understand **WHAT** risks using the service organization creates and **WHAT** controls exists at the Opco to address those risks.(cont'd).

How you are using your service organization	Considerations/ Risks	What you can do to assess the need for a SOC report
4) manage or support IT systems which are relevant for ICFR	*Note: The following example considerations are not all encompassing. The Opco should consider the risks within the context of Data & Technology controls within the RCM.*	*NOTE: Given some of the example requirements indicated below, it is highly likely you will need to obtain and review the service organization's SOC report.*
	Service organization creates/ designs new reports on behalf of the Opco, and may do so incorrectly.	Does the Opco review the code in detail, restrict access to production environment, and publish the update/ report codes themselves?
	Service organization pushes IT updates/ patches directly, and may push bad patches	
	Service organization manages a cloud upon which the IT system the Opco uses relevant for ICFR sits upon. Bad management leads to loss of financial data.	Does the Opco perform all Data & Technology related controls as the control owner, reviewing the work that the service organization does in detail?
	Service organization manages servers, back ups, and other IT operations for the IT system the Opco uses that is relevant to ICFR. Bad management leads to loss of financial data.	
	Service organization has superuser access for troubleshooting the IT system. Service organization could theoretically turn off key financial configurations, manipulate financial data.	Does the Opco review the superuser IT activity on a periodic basis to ensure that there was no unauthorized superuser activity?

RECAP

If the controls operated are designed to operate at a sufficiently direct and precise level to address the risk of material misstatement presented by using the service organization, then a SOC 1 Type 2 report may not be necessary.

This risk assessment must be **documented in "Section 1 – General Assessment" in the "Assessment" tab of the template.**

KNOWLEDGE CHECK

True or False:

A service organization is an entity (or segment of an entity) that provides services to a user entity that is part of the user entity's information system.



There are three types of SOC 1 reports.



For service organizations that support systems or perform activities that may have a financial impact to the OpCo, it is likely a SOC report is necessary from the service organization.



I HAVE OBTAINED A SOC-1 – NOW WHAT?

There is a lot to look at in SOC 1 reports, including:

- The **time period** covered by the tests of controls and its relation to the ICFR assessment period.
- Whether Complementary User Entity Controls ("**CUECs**") the service organization identified are relevant and, if so, whether Management has designed and implemented such controls.
- The **scope** of the examination and applications covered, the controls tested, and the way in which tested controls relate to the company's controls.
- The report identifies controls over the service organization's activities that support relevant financial statement assertions at the user entity.
- The report includes both an evaluation of the design of controls and tests of operating effectiveness (i.e., a **Type 2 report**).
- The **results** of those controls tests, as well as the service auditor's opinion on the controls' operating effectiveness and whether each control objective was achieved.
- Whether **significant changes** that have occurred at the service organization between the SOC 1 report date and the user entity's financial year-end date have been identified and addressed.
- Whether the report excludes the services provided by a **subservice organization** that are relevant to the audit of the user entity's financial statements.
- The **impact** the results of control tests have on the assessment of ICFR.

Fraud Considerations

If the entity uses a service organization that has either reported to Management or Management is otherwise aware of fraud, non-compliance with laws and regulations, or uncorrected misstatements affecting the financial statements of the entity, Management may consider how such matters affect the nature, timing and extent of further procedures, which may require additional information from the service organization.

Identified Deficiencies

Management should evaluate control deficiencies identified at the service organization in line with its standard deficiency evaluation and aggregation process.

CUECs & CSOCs

What are Complementary User Entity Controls (CUECs)?

Controls that are expected will be implemented by user entities in order to make the overall design of the controls at the subservice organization effective.

- For relevant areas, without these at the user entity, the SOC1 is technically not reliable.
- Typically, this would align with key controls already in place at the user entity, but careful consideration should be made of how they align with the SOC1 report.

What are Complementary Subservice Organization Controls (CSOCs)?

Controls that the service organization's management assumes, in the design of the service organization's system, will be implemented by the subservice organizations and are necessary to achieve the control objectives stated in management's description of the service organization's system.

- Critical consideration of the relevance of Subservice Organizations is the first step.
- If the subservice is relevant for the user entity, it typically requires obtaining a related SOC1 or obtaining comfort through other, additional testing considerations.

HOW DO I DOCUMENT MY REVIEW OF MY SERVICE ORGANIZATIONS? (CONT.)

We have provided a Third Party Service Providers template in InsideWPP to guide Opcos.
https://inside.wpp.com/insidewpp/business/risk-and-controls-group/third-party-service-provider/

Step 1: Document the list of your service organizations.

Fill these columns manually.

Select the appropriate drop downs.

Instructs you if you should proceed to the next tab **(per organization)**

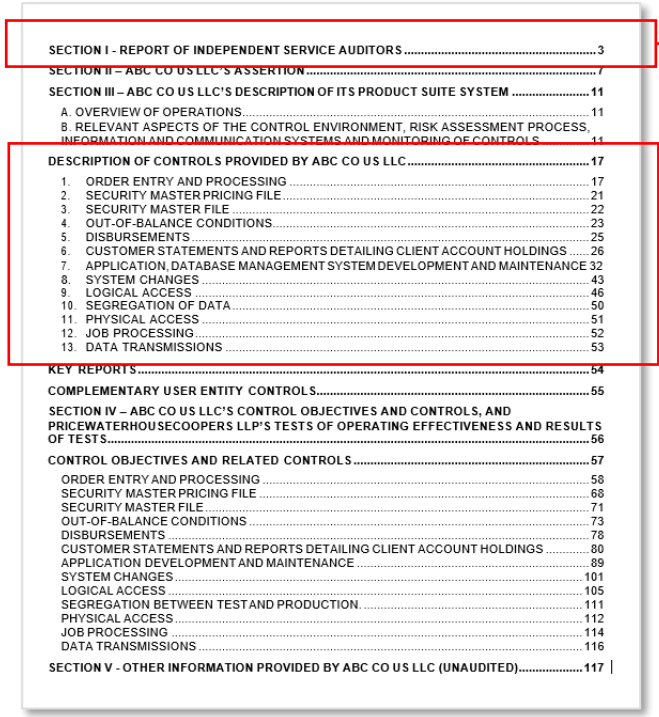
Please complete one row per service provider (SP)

Region	Country	OpCo name	SOX ID	1. Third party service providers utilized by the business	2. Description of the service or technology provided	3. Does the SP meet one or more of the following criteria: (1) maintain your accounting records; (2) manage your assets; (3) initiate, authorize, record, or process financial transactions; or (4) manage or support IT systems which are relevant for ICFR	4. Is this a centrally managed WPP Supplier? (e.g., ADP)	5. Is the SP utilized for processing of financial information or operational information?	Next Steps

IMPORTANT: A vendor that was WPP approved or recommended does **NOT** mean it is centrally **MANAGED**.

HOW DO I DOCUMENT MY REVIEW OF MY SERVICE ORGANIZATIONS? (CONT.)

STEP 2: Document the report that you have obtained.



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Describes the controls provided by the Service organization. Understand them against HOW you are using the service organization, and ensure risks posed to your Opco is addressed.

There are 4 types of audit opinions
- "Disclaimer" or "Adverse" opinions are the worst, and means you CANNOT rely on the service organization's controls. Escalate to IA immediately, validate all information received to an independent source.
- "Qualified" means not some controls not operating effectively. You need to assess impact to your Opco.
- "Unqualified" there may be exceptions, but the controls can be relied upon.

Opco must document why a SOC report is not required DESPITE the service organization being financial in nature (E.g. Opco does not rely on the service providers controls). Responses must provide adequate detail to explain the reasoning.

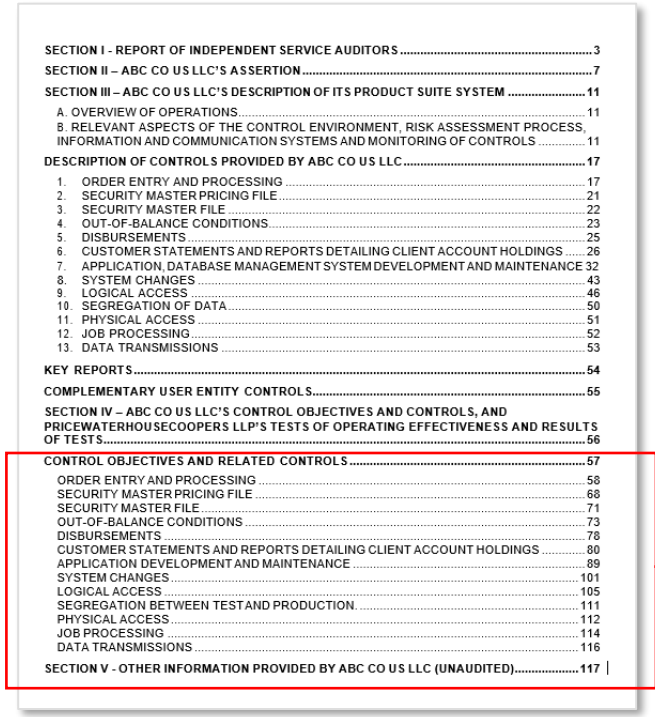
A bridge letter bridges the gap between the end date of the service organization's most recently completed SOC reporting period and the release of the new report.

Section 1 - General Information:

Third party service providers (as identified on "1 - Provider" tab)	1. Does the SP have a current SOC1 Type 2 (Service Organisation Control) report or the equivalent that you have obtained? (Note - ISO reports do not qualify as equivalent for ICFR purposes)	2. If no SOC1 Type 2 report available OR if the Opco has strong, precise detective controls to review the information/services provided by the service provider - What controls were operated by management to validate the information/ services received from the SP was complete, accurate (and appropriate if applicable)?	If the answer to question 1 is 'Yes': please provide SOC1 Report information				
			3a. What is the period covered by the report?	3b. If the report did not cover through December 31st of the current year, was a "bridge letter" obtained that covers through December 31st?	3c. Does the scope of the report cover services provided to you by the SP? Clearly indicate to which business process and/or, if relevant, which set of controls the report relates to. (Note - the report may cover additional information beyond the scope of use of the SP for WPP. If so, that information does not need to be assessed)	3d. State auditors' opinion on the effectiveness of systems and controls at the SP.	3e. If opinion is 'Qualified', state justification for continued use of the SP.

2 - Assessment

HOW DO I DOCUMENT MY REVIEW OF MY SERVICE ORGANIZATIONS? (CONT.)



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STEP 3: Document the **exceptions** that were noted within the report

Review the testing results by the auditor of the controls, and document exceptions identified.

Document your service organization's management's assessment here, and communicate the exception and the assessment to IA.

Section 2 - SOC Report testing exceptions (use one row per exception and add additional rows as needed):

Please list all testing exceptions within the report:	1. Control objective or page number reference (From SOC report)	2a. Does the exception relate to a relevant control activty at the SP that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. Are controls or additional procedures in place at WPP to mitigate the exception?	3b. If yes, please describe and indicate their effectiveness	3c. If no, please add the exception to internal audit's deficiency listing as the impact must be assessed

2 - Assessment

HOW DO I DOCUMENT MY REVIEW OF MY SERVICE ORGANIZATIONS? (CONT.)

Examples for SOC Exception Review (1)

Section 2 - SOC Report testing exceptions (use one row per exception and add additional rows as needed):

Please list all testing exceptions within the report:	1. Control objective or page number reference (From SOC report)	2a. Does the exception relate to a relevant control activty at the SP that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. Are controls or additional procedures in place at WPP to mitigate the exception?	3b. If yes, please describe and indicate their effectiveness	3c. If no, please add the exception to internal audit's deficiency listing as the impact must be assessed
For the control of offboarding employees on a timely basis, access for 3 employees from a sample of 25 were not removed on a timely basis.	Page number 65	Yes - Proceed to question 3a		No		Based on the SOC report: "Service organization's management has assessed the period of which the employees still had access to the production environment, and has reviewed the user activities and confirmed that there were no inappropriate activities by affected users during this exception time period." Based on this, the Opco believes that the risk posed to the Opco is minimal. Exception has been communicated to IA.

1. Copy paste exception details from SOC report
2. Page number from where this was found
3. Is it related to the service provided to you, the Opco, by the Service Organization?
4. Do you have controls or procedures to address it? Assess the impact. If there is a “management response” or equivalent in the report, where your service provider assesses the impact of the exception, it should be documented as it may help you decide if you need to perform additional procedures. Re-assess if you SHOULD have additional procedures to mitigate the exception
5. Report exception to IA if the answer in 3a is “no”

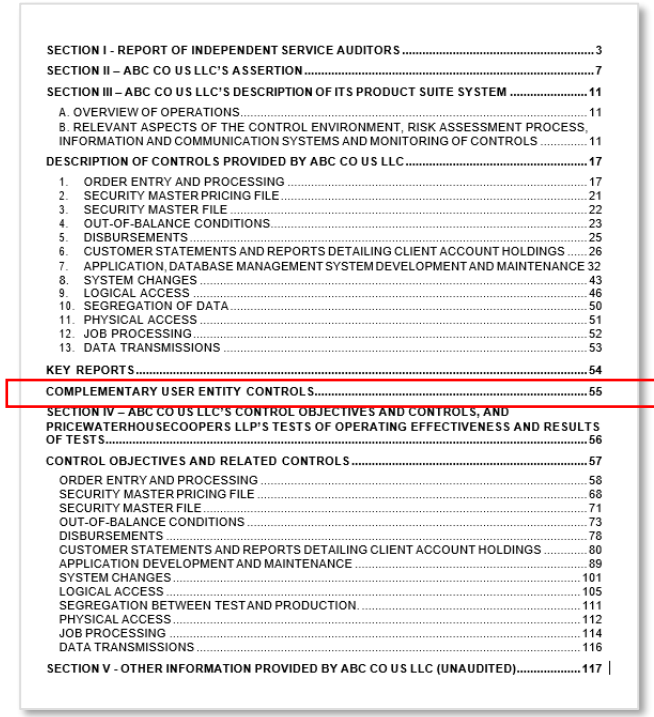
HOW DO I DOCUMENT MY REVIEW OF MY SERVICE ORGANIZATIONS? (CONT.)

Examples for SOC Exception Review (2)

Section 2 - SOC Report testing exceptions (use one row per exception and add additional rows as needed):

Please list all testing exceptions within the report:	1. Control objective or page number reference (From SOC report)	2a. Does the exception relate to a relevant control activty at the SP that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. Are controls or additional procedures in place at WPP to mitigate the exception?	3b. If yes, please describe and indicate their effectiveness	3c. If no, please add the exception to internal audit's deficiency listing as the impact must be assessed
For the control of reviewing development of key reports for clients and approving prior to migrating to production on behalf of clients, 2 change requests out of 25 were not approved on a timely basis.	Page number 65	No - Proceed to question 2b	The Opco does not depend on the service organization for the development of key reports. The Opco has a team of in house developers that develops reports for Opco's management and follows the Opco's Data & Technology controls.			

HOW DO I DOCUMENT MY REVIEW OF MY SERVICE ORGANIZATIONS? (CONT.)



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STEP 4: Map your process/ controls to each CUECs identified in the report

Complementary User Entity Controls (CUECs) are controls that the service organization states are your (the Opcos) responsibility. Review and ensure you have controls/ processes to address the CUECs. You may have 1 control or process address multiple CUECs

Section 3 - Complementary User Entity Controls (use one row per complementary control listed and add additional rows as needed):

Please list all complementary user entity controls identifed within the report:	1. Control objective or page number reference (From SOC report)	2. Does complementary user entity control relate to an activity/ process that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. If yes, What controls or additional procedures are in place at WPP? Describe as needed.

2 - Assessment

HOW DO I DOCUMENT MY REVIEW OF MY SERVICE ORGANIZATIONS? (CONT.)

Examples for CUEC Review

Section 3 - Complementary User Entity Controls (use one row per complementary control listed and add additional rows as needed):

Please list all complementary user entity controls identifed within the report:	1. Control objective or page number reference (From SOC report)	2. Does complementary user entity control relate to an activty/ process that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. If yes, What controls or additional procedures are in place at WPP? Describe as needed.
Information provided to the service organization is complete and accurate	page 70	Yes - Proceed to question 3a		There is a process where all information to be submitted to the service organization is reviewed and approved by the leasing department's manager. Additionally, on a monthly basis, the regional leasing team obtains reports from the service organization and reviews the information in the report to identify errors. If any errors are detected, a request for correction is submitted to the service organization by the regional team.
Reports from the ABC tool, which is a tool provided by the Service Organization, is complete and accurate.	page 70	No - Proceed to question 2b	The Opco does not utilize the ABC tool.	

REMINDER!

Please duplicate this tab and complete sections 1-3 for each provider indicated on tab "1 - Provider"

Section 1 - General Information:

Third party service providers (as identified on "1 - Provider" tab)	1. Does the SP have a current SOC1 Type 2 (Service Organisation Control) report or the equivalent that you have obtained? (Note - ISO reports do not qualify as equivalent for ICFR	2. If no SOC1 Type 2 report available OR if the Opco has strong, precise detective controls to review the information/services provided by the service provider - What controls were operated by management to validate the information/ services received from the SP was complete,	If the answer to question 1 is 'Yes': please provide SOC1 Report information				
			3a. What is the period covered by the report?	3b. If the report did not cover through December 31st of the current year, was a "bridge letter" obtained that covers through December 31st?	3c. Does the scope of the report cover services provided to you by the SP? Clearly indicate to which	3d. State auditors' opinion on the effectiveness of systems and controls at the SP.	3e. If opinion is 'Qua state justification continued use of th

Section 2 - SOC Report testing exceptions (use one row per exception and add additional rows as needed):

Please list all testing exceptions within the report:	1. Control objective or page number reference (From SOC report)	2a. Does the exception relate to a relevant control activty at the SP that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. Are controls or additional procedures in place at WPP to mitigate the exception?	3b. If yes, please describe and indicate their effectiveness	3c. If no, please add the exception to internal audit's deficiency listing as the impact must be assessed

Section 3 - Complementary User Entity Controls (use one row per complementary control listed and add additional rows as needed):

Please list all complementary user entity controls identifed within the report:	1. Control objective or page number reference (From SOC report)	2. Does complementary user entity control relate to an activty/ process that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. If yes, What controls or additional procedures are in place at WPP? Describe as needed.

All sections must be completed for EACH SOC report review. Remember, if you use the service provider to "manage or support IT systems which are relevant for ICFR", it is extremely unlikely that you do not need to assess the service organization's SOC report.

REMINDER!

WHAT ABOUT SUBSERVICE PROVIDER ASSESSMENTS? (CSOCs)

Please duplicate this tab and complete sections 1-3 for each provider indicated on tab "1 - Provider"

Section 1 - General Information:

Third party service providers (as identified on "1 - Provider" tab)	1. Does the SP have a current SOC1 Type 2 (Service Organisation Control) report or the equivalent that you have obtained? (Note - ISO reports do not qualify as equivalent for ICFR	2. If no SOC1 Type 2 report available OR if the Opco has strong, precise detective controls to review the information/services provided by the service provider - What controls were operated by management to validate the information/ services received from the SP was complete,	If the answer to question 1 is 'Yes': please provide SOC1 Report information				
			3a. What is the period covered by the report?	3b. If the report did not cover through December 31st of the current year, was a "bridge letter" obtained that covers through December 31st?	3c. Does the scope of the report cover services provided to you by the SP? Clearly indicate to which	3d. State auditors' opinion on the effectiveness of systems and controls at the SP.	3e. If opinion is 'Qualified', state justification for continued use of the SP.

Section 2 - SOC Report testing exceptions (use one row per exception and add additional rows as needed):

Please list all testing exceptions within the report:	1. Control objective or page number reference (From SOC report)	2a. Does the exception relate to a relevant control activty at the SP that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. Are controls or additional procedures in place at WPP to mitigate the exception?	3b. If yes, please describe and indicate their effectiveness	3c. If no, please add the exception to internal audit's deficiency listing as the impact must be assessed

Section 3 - Complementary User Entity Controls (use one row per complementary control listed and add additional rows as needed):

Please list all complementary user entity controls identifed within the report:	1. Control objective or page number reference (From SOC report)	2. Does complementary user entity control relate to an activty/ process that is being relied on by the Opco?	2b. If no, please provide detail on why it is not relevant	3a. If yes, What controls or additional procedures are in place at WPP? Describe as needed.

Create a new tab, obtain the subservice provider's SOC, and review only Section 1 and 2

2 - Assessment

ADDITIONAL REMINDERS

Identify service organizations that support systems or perform activities that may have a financial (not operational) impact to the Opco.

Recommended or WPP Approved Vendors may not be centrally managed. Assess accordingly.

Ensure that all 3 sections in the assessment tab are completed when a service organization provides services that may have a financial impact.

Pay particular attention to ERP systems that may be cloud based, or where its infrastructure is managed by a service organization or third party. It is unlikely that you have mitigating processes or controls that would address the risk that they pose to your Opco.

KNOWLEDGE CHECK

True or False:

Some sections within the tab “2-Assessment” in the template are optional, applicability is dependent on each SOC report in review.



OpCos need to review the complementary user entity controls (CUEC) identified in the SOC 1 report to determine if it is applicable and if so, the control is implemented by the OpCo.



Complementary Subservice Organization Controls (CSOCs) are controls implemented by the subservice organizations.

If the subservice is relevant to the OpCo, OpCo is required to obtain the SOC1 report of that subservice organization, or obtain comfort through other, additional testing considerations.

